Before the
New York State Public Service Commission

In the Matter of

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID NY
AND
KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
Cases 23-G-0225 AND 23-G-0226

September 22, 2023

Prepared Rebuttal Testimony of

Michele Chait

On Behalf of:

The City of New York

PURPOSE OF REBUTTAL TESTIMONY

Q. WHAT IS THE PURPOSE OF YOUR REBUTTAL TESTIMONY?

A. I have reviewed the Utility Intervention Unit ("UIU") Direct Testimony of Danielle Panko and the Prepared Testimony of the Department of Public Service Staff Gas Rates Panel. My rebuttal testimony addresses 1) cost allocation; 2) bill impacts; and 3) the non-firm demand response ("NFDR") customer gas cost reconciliation proposal.

Q. ARE YOU SPONSORING ANY EXHIBITS WITH YOUR TESTIMONY?

A. No.

Q. PLEASE SUMMARIZE YOUR CONCLUSIONS AND RECOMMENDATIONS.

A. I recommend that due to the resulting cost shifts, UIU's proposal for each service classification to receive a uniform rate increase not be accepted.

I recommend that the Companies be directed to conduct a nuanced analysis of potential rate designs for each customer class, with the objectives of mitigating adverse bill impacts and ensuring that no customers are unduly impacted.

Due to cost shift concerns, I recommend that over-/under-collection of gas costs from firm and NFDR customers be modified so that it is not accomplished via a single volumetric rate.

COST ALLOCATION

Q. HOW DID THE STAFF GAS RATES PANEL ALLOCATE THE SYSTEM AVERAGE INCREASE ACROSS SERVICE CLASSIFICATIONS?

A. Discussion in lines 23-24 on page 32 and lines 1-2 on page 33 indicates that Staff employed the Companies' proposed +/- 40% tolerance band. Page 31 lines 10-15 states that Staff divided over-contributing service classifications into three categories (Greatly Over Contributing, Moderately Over Contributing, Slightly Over Contributing) and under-contributing service classifications into three categories (Greatly Under Contributing, Moderately Under Contributing, Slightly Under Contributing). Staff adjusted the system average increase allocation percentages across these categories.

Q. DID STAFF GAS RATES PANEL EXPLAIN ITS RATIONALE FOR THIS METHODOLOGY?

A. No.

Q. DO YOU SUPPORT STAFF'S RECOMMENDATIONS?

A. Insufficient information was provided to enable evaluation of Staff's proposal, and it is difficult to ascertain whether the Staff interclass revenue allocation recommendations differ materially from those proposed by the Companies, which I continue to support.

Q. HOW DOES UIU WITNESS PANKO ALLOCATE THE DISTRIBUTION REVENUE CHANGE ACROSS SERVICE CLASSIFICATIONS?

A. Panko Direct Testimony page 5 lines 3-5 states that due to the magnitude of the rate increases, each firm service classification should receive a uniform increase for Rate Year 1.

Q. DO YOU SUPPORT THIS PROPOSAL?

A. No. It is worth noting that the interclass revenue allocation proposed by the Companies already was tempered to soften the impacts on those classes that are being subsidized. The UIU approach would under-allocate costs to under-contributing firm service classifications and over-allocate costs to over-contributing firm service classifications, thereby perpetuating existing interclass subsidies.

Q. DO YOU HAVE ANY OTHER OBSERVATIONS REGARDING THIS PROPOSAL?

A. Yes, I have two. First, across firm service classifications, UIU's proposed methodology effectively allocates the distribution revenue increase per the delivery revenue at present rates rather than according to the Companies' cost of service studies in the instant proceeding.

Q. WHAT IS THE SECOND OBSERVATION?

A. Although Ms. Panko requests that the Companies perform ECOS studies using a 100% demand classification of distribution mains costs, such a study does not appear to form the basis of UIU's revenue allocation proposal. In any event, for the reasons cited in my direct testimony, I support the Companies use of the minimum distribution system to allocate the cost of distribution mains, as does the Staff Rates Panel.

Q. HOW DOES UIU'S METHODOLOGY COMPARE TO THE COMPANIES' METHODOLOGY?

A. The Companies' methodology, as I noted in my Direct Testimony, appears to "thread the needle" in terms of balancing the multiple objectives in a cost-of-service study. In

comparison, UIU's methodology does not attempt to balance multiple competing objectives. Instead, it results in a lower distribution revenue change allocation to service classifications already identified as under-collecting, including SC-1A (residential non-heat) and SC-3 (multi-family). This under-allocation of costs would be subsidized by customer classes already identified as over-collecting, including SC-2-1 (Non-residential non-heat), SC-2-2 (Non-residential heat), and all SC-4 classes.

BILL IMPACTS

Q. WHAT POSITION DOES THE STAFF GAS RATES PANEL TAKE REGARDING THE COMPANIES' CONTINUED PHASE-OUT OF DECLINING BLOCK RATE STRUCTURES?

A. Lines 15-18 on page 7 of the Panel's Direct Testimony states that Staff opposes continuing the phase-out of declining block rate structures due to the magnitude of the rate increases.

Q. DO YOU HAVE ANY COMMENT ON STAFF'S RECOMMENDATION?

A. Staff testimony highlights some disparate bill impacts resulting from National Grid's rate design proposals. For example, Exhibit__(RDP-4CU) Schedule 4 Page 4 of 23 indicates that the delivery bill impacts of the proposed rate design on SC-1B (Residential Heat) customers will range from 14.70% at the low end to over 60% for the highest usage customers and that several hundred thousand residential heating customers will experience greater than the average delivery bill impact of 28.82%. Though not as pronounced, similar disparate results are shown for the SC 2-2 Non-Residential Heat class (see Exhibit__(RDP-4CU) Schedule 8 of 23). Bill increases of this magnitude are onerous for high-usage

heating customers and should be mitigated. As another example, Exhibit__(RDP-4CU) Schedule 4 Page 5 of 23, the monthly bill comparison table for KEDNY SC1-BR (residential heat reduced rate), shows delivery bill reductions for customers with monthly usage of 100 therms or less but sizeable bill increases for customers with higher usage levels.

Q. DO YOU HAVE ANY RECOMMENDATIONS?

A. Yes. I believe that additional rate design analysis should be conducted and that proposed rate structures should be carefully scrutinized to ensure they best achieve objectives. The Companies should be directed to carry out additional class-by-class rate design analysis to ascertain whether, for each class, there are more nuanced structures that better balance bill impacts across usage levels while still moving towards achieving policy goals.

NFDR GAS COST RECONCILIATION

Q. DOES STAFF SUPPORT THE COMPANIES' PROPOSAL TO RECONCILE OVER-/UNDER-COLLECTION FROM FIRM AND NFDR CUSTOMERS THROUGH A SINGLE VOLUMETRIC RATE?

A. Yes.

Q. DO YOU SUPPORT STAFF'S RECOMMENDATION?

A. No. Staff did not address the cost shift created by the single volumetric rate as discussed in my direct testimony. For reasons cited in my testimony, this issue should be rectified.

Q. DOES THIS CONCLUDE YOUR TESTIMONY?

A. Yes.